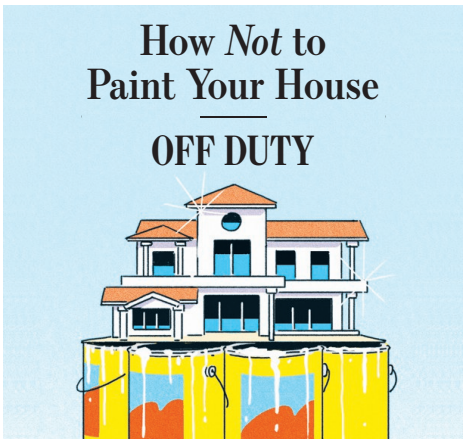




WSJ

THE WALL STREET JOURNAL WEEKEND



DOW JONES | *News Corp* * * * * * **SATURDAY/SUNDAY, AUGUST 23 - 24, 2025 ~ VOL. CCLXXXVI NO. 46** **WSJ.com** * * * * * **\$6.00**

What's News

Business & Finance

- ◆ **Fed Chairman Powell** opened the door for interest-rate cuts next month when he said the labor market might be softening enough to rein in inflation. **A1**
- ◆ **The central bank said** it would no longer intentionally allow inflation to run above its 2% target, even after stretches of low price increases. **A2**
- ◆ **Trump said the government** is taking a nearly 10% stake in Intel, fueling speculation about what might be done to help the troubled chip maker. **A1**
- ◆ **U.S. stocks advanced**, with the S&P 500 and Nasdaq gaining 1.5% and 1.9%, respectively, while the Dow rose 1.9% to a record. **B11**
- ◆ **JPMorgan Chase will** pay \$330 million to settle claims that it facilitated transactions in the looting of the IMDB Malaysian sovereign-wealth fund. **B9**
- ◆ **Disney's ESPN is in** advanced talks for a three-year deal with Major League Baseball valued at around \$550 million a year. **B9**
- ◆ **Elon Musk tried** to enlist Meta Platforms Chief Executive Mark Zuckerberg as part of his unsolicited \$97.4 billion bid to take over OpenAI. **B9**
- ◆ **Cenovus Energy will** buy MEG for the equivalent of about \$5.68 billion as consolidation continues in Canada's petroleum sector. **B11**

World-Wide

- ◆ **The FBI searched** the Maryland home and Washington, D.C., office of former Trump national security adviser John Bolton, escalating a years-old probe into whether the prominent Trump critic mishandled classified information. **A1**
- ◆ **Ghislaine Maxwell said** in a recorded Justice Department interview that she never saw Trump do anything inappropriate or illegal during her long relationship with convicted sex offender Jeffrey Epstein. **A3**
- ◆ **Kilmar Abrego Garcia** was released from criminal custody in Tennessee to return to Maryland, setting up the final fight over the fate of an immigrant who had drawn Trump's ire. **A4**
- ◆ **Defense Secretary Pete Hegseth** authorized the more than 2,000 National Guard soldiers in Washington, D.C., to carry weapons. **A3**
- ◆ **The No. 2 Treasury** Department official was pushed out of his job after frustrating Trump and feuding with those close to him. **A2**
- ◆ **International food-security** experts said a famine has taken hold around Gaza City, the first such determination in the Middle East. **A7**
- ◆ **Canada said it would** remove its 25% tariff on about half of the U.S. goods it has targeted since March as a goodwill gesture in an attempt to reset its trading relationship with the U.S. **A2**

NOONAN
How to think about Trump and Ukraine **A13**

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Powell Raises Hopes of a Rate Cut

Fed chair notes a changing economic outlook; markets rally after speech

By NICK TIMIRAOS

JACKSON HOLE, Wyo.—Federal Reserve Chair Jerome Powell opened the door for rate cuts next month when he said the labor market might be softening enough to rein in inflation that is being pushed up by tariffs.

Throughout the year, Powell and his colleagues have held

rates steady, pointing to a solid labor market and uncertainty over the inflation outlook, given large tariff hikes. But in a widely watched address at a conference in Wyoming on Friday, Powell suggested the outlook was changing in a direction that could justify resuming rate cuts.

“The balance of risks appears to be shifting,” Powell said. While labor markets look stable, “it is a curious kind of balance that results from a marked slowing in both the supply of and demand for workers.” That has led to an “unusual situation” in which

the risks of worse-than-expected labor-market outcomes are rising, he said.

“And if those risks materialize, they can do so quickly in the form of sharply higher layoffs and rising unemployment,” Powell said.

The changing economic outlook, he said, “may warrant adjusting our policy stance,” which is still restrictive.

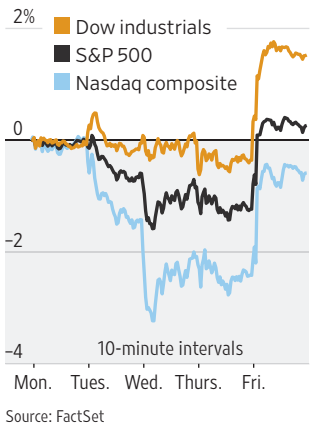
Markets cheered Powell’s speech, which blessed investor expectations of a September rate cut that had accumulated after disappointing downward revisions to payroll gains earlier this month. The Dow

Jones Industrial Average, the S&P 500 and the Nasdaq composite all finished Friday with gains of roughly 1.5% to 2%.

But it isn’t clear for how long the Fed chair’s remarks will satisfy President Trump or his advisers. They have claimed that the economy is booming while badgering the Fed to aggressively lower interest rates over the coming months. They have placed *Please turn to page A2*

- ◆ **Fed adjusts long-run inflation policy.....** **A2**
- ◆ **Dow surges more than 800 points to record.....** **B11**

Index performance this past week



FBI agents searched the home of former Trump national security adviser John Bolton in Bethesda, Md., on Friday morning.

FBI’s Raid of Bolton Steps Up Probe Into a Key Trump Critic

By SADIE GURMAN AND BRETT FORREST

The FBI on Friday searched the Maryland home and Washington, D.C., office of former Trump national security adviser John Bolton, people familiar with the matter said, escalating a years-old probe into whether the prominent Trump critic mishandled classified information.

A spokeswoman for Bolton declined to comment. He clashed with the president over policies toward Iran and North Korea during his 18-month tenure

in President Trump’s first term and has maintained a drumbeat of public criticism so far during the second.

“NO ONE is above the law,” Federal Bureau of Investigation Director Kash Patel said on X around the time of the search. A Justice Department spokesman declined to comment but pointed to a post from Attorney General Pam Bondi that said, “America’s safety isn’t negotiable.”

The Justice Department during Trump’s first term sued Bolton and launched a criminal investigation

into whether he unlawfully disclosed classified information in his memoir, which offered a scathing assessment of Trump’s presidency.

Friday’s searches, which were authorized by federal magistrates, stem from an investigation into whether Bolton illegally possessed or shared classified material, including to the media, one person said. Agents could be seen carrying boxes out of Bolton’s office building Friday afternoon.

Trump officials are pursuing his perceived enemies with new

zeal in his second term, opening probes into some of his most vocal critics, many of them Democrats, and firing agents and prosecutors involved in federal investigations of the president and his allies.

For his part, Patel has taken on some of Trump’s top partisan priorities as head of the nation’s top law-enforcement agency. In recent weeks, Patel reupped investigations that have animated Trump’s base and fired, demoted or reassigned dozens of employees involved in investigation *Please turn to page A4*

President Says U.S. Will Take Big Stake In Intel

The U.S. government is taking a 10% stake in Intel, a deal that caps a two-week frenzy for the troubled chip maker and marks the latest in a series of extraordinary private-sector interventions by President Trump.

By Amrith Ramkumar, Robbie Whelan and Brian Schwartz

Under the terms of the agreement, \$8.9 billion in grants that had been awarded to Intel from the 2022 Chips Act, but not yet paid, will be converted to equity, the two sides said Friday. The government could get more stock depending on what happens to Intel’s chip manufacturing business.

The deal is a remarkable turnaround. Just over two weeks ago, Trump called for Intel CEO Lip-Bu Tan to be fired for his ties to China. After meeting Tan and talking about the business last week, Trump became a fan and saw an opportunity to deepen their partnership, he said Friday.

“I said, ‘I think you should pay us 10% of the company,’ and they said yes,” Trump said in the Oval Office.

Tan was photographed smiling with Commerce Secretary Howard Lutnick in Washington to celebrate the deal. Under the terms of the agreement, the government would become Intel’s largest shareholder *Please turn to page A4*

- ◆ **Supply concerns boost Chinese chip stocks.....** **B11**

The Queue:
Pub Culture’s Mortal Threat
* * *
Pub purists are up in arms over single-file lines

By ROYA SHAHIDI

LONDON—The British have famously strict etiquette for queuing. Dare cut in line here and you’ll quickly be met with scorn, or at least a tut. But there is one place where forming a single line has long been frowned upon: the pub.

For centuries, getting a drink in Britain has meant going straight to the bar, finding a gap and making eye contact with the bartender. No more. *Please turn to page A9*

INSIDE

BABY BUDGET
The price of parenting in 2025—and how to cut it. **B1**

JOURNAL REPORT
Travel:
Our readers’ best family trips. **R1-10**

Their American Dream Became a Mexican Nightmare

One family’s journey shows a region reshaped and a dream reimaged

By KEJAL VYAS

CIUDAD JUÁREZ, Mexico—Cesar Atencio and Lina Arias rushed with their two small children toward the U.S. border in January, aiming to beat the crackdown on immigration President Trump had promised when he returned to office. They didn’t make it. Crossing Mexico’s Chihuahuan Desert in a van on a frigid morning, they were stopped by gang members posing as police and kidnapped for ransom.

“They told us they had good news and bad news,” said Arias, 27. “The bad news was for us, that Trump was president and that the border was closed. The good news was for them, that smugglers would be able to charge more for trafficking people and drugs.”

The Trump administration *Please turn to page A9*